Financial Feasibility & Sensitivity Memo

CAPEX, financing, returns, covenant headroom, sensitivities, and cross-document reconciliation.

Project: Solar Alpha **Location:** Solano County, California (fictional demo site) **Date:** August 14, 2026

Demo note: This document contains intentionally synthetic data and seeded inconsistencies for a one-day hackathon prototype. It is not a real engineering, legal, environmental, investment, or regulatory opinion.

Base case

The investment model assumes total project CAPEX of $186.0M, 65% debt financing, 35% equity, commercial operation in July 2028, and 80% contracted output at financial close.

Metric	Base case	Investment threshold
Total CAPEX	$186.0M	<= $200M
Debt share	65%	<= 70%
Project IRR	12.8%	>= 10.0%
Equity IRR	16.4%	>= 13.0%
Minimum DSCR	1.31x	>= 1.25x
Firm contracted capacity	200 MW assumed	>= 175 MW

Cross-document reconciliation

Materials analysis indicates sampled procurement packages are approximately $12.7M above the cost-plan basis, with downside total CAPEX potentially reaching $211M. Demand analysis indicates only 150 MW is currently supported by an executed term sheet.

CRITICAL RED FLAG - The finance model uses $186M CAPEX and 200 MW firm contracted demand, while current supporting documents indicate higher procurement costs and only 150 MW of firm term-sheet coverage.

Sensitivity results

Scenario	CAPEX ($M)	Firm contracted MW	Equity IRR	Min DSCR	Result
Base model	186	200	16.4%	1.31x	Pass
Updated materials	199	200	13.8%	1.24x	Covenant breach
Demand corrected	186	150	14.1%	1.23x	Covenant breach
Combined downside	211	150	10.2%	1.14x	Fail
Mitigated case	199	200	13.5%	1.27x	Pass

Financing conditions precedent

Draft lender checklist requires executed primary offtake agreement, evidence of material site control, final environmental permit path, and fixed or capped pricing for major electrical equipment. As of this memo, all four items contain unresolved qualifications elsewhere in the project package.

WARNING - The project schedule targets financing close in October 2026, while Utility A final contract execution is targeted for November 2026.

Investment recommendation

Conditional proceed only. Re-run the investment case with current material pricing, align contracted-demand assumptions to executed evidence, and resolve permitting/site-control dependencies before investment committee approval.